

October 04, 2022



CB003-14038398



John M Dilan
460 Main Street
Freemansburg, PA 18017

Acct#: 0008494-0000-000

Ref#: 1252485

RE: Notice of Right to Continue Group Health Coverage under COBRA

Dear John M Dilan:

You have been receiving group health insurance as an employee or dependent of an employee of Johnstone Supply. Cobra Control Services is a third party billing processor acting on behalf of Johnstone Supply. Our records show that your coverage under one or more of Johnstone Supply's group health plans has terminated or will terminate as a result of a qualifying event. Under the federal law known as COBRA, you are entitled to continue that coverage for a limited period of time at your own expense, but at group rates. This letter and the enclosed Notice and the Election Form, contain important information about your right to continue group health coverage under COBRA as well as other health coverage alternatives that may be available to you through the Health Insurance Marketplace. For more information about the Health Insurance Marketplace, visit www.HealthCare.gov or call 1-800-318-2596. You may be able to get coverage through the Health Insurance Marketplace that costs less than COBRA continuation coverage.

Please read this letter and the enclosed Notice and Election Form carefully. If you choose to elect COBRA continuation coverage, you should use the enclosed Election Form. If you have any questions concerning this letter, the Notice, the Election Form, or your right to continued coverage, you should contact: Cobra Control Services, LLC, P.O. Box 62407, King of Prussia, PA 19406 (888)887-6187.

QUALIFYING EVENT:

Termination of Employment

INDIVIDUALS AFFECTED BY QUALIFYING EVENT (REFER TO AS "QUALIFIED BENEFICIARIES"):

John M Dilan

PLANS AND COSTS (FEES ARE SUBJECT TO CHANGE):

CBC PPO 8000/0/30 Single \$485.57

CBC Vision 12/10 Single \$4.32

UCCI Single \$29.41

IMPORTANT DATES:

Qualifying Event Date: 09/30/2022

Date Coverage Lost (and COBRA Coverage Begins): 10/01/2022

Date COBRA Coverage Expires: 03/31/2024

Date for Postmark or Receipt of COBRA Election: 12/02/2022

(Continued)



If you are eligible to continue coverage under a health flexible spending account plan (FSA), the date coverage is lost and date COBRA coverage expires may differ from the Important Dates listed above. Refer to the enclosed Election Form.

IMPORTANT - TO ELECT CONTINUATION COVERAGE, YOU MUST COMPLETE THE ENCLOSED "ELECTION FORM" AND RETURN IT TO US. THE COMPLETED ELECTION FORM MUST BE POST-MARKED OR OTHERWISE RECEIVED BY THE DATE SPECIFIED. IF YOU DO NOT SUBMIT A COMPLETED ELECTION FORM BY THIS DATE, YOU WILL LOSE YOUR RIGHT TO ELECT CONTINUATION COVERAGE UNDER COBRA.

Sincerely,
Cobra Control Services, LLC

The U.S. Government has changed the required timeframes for COBRA continuation coverage due to the COVID-19 National Emergency.

The "Date for Postmark or Receipt of COBRA Election" identified on the first page of this letter is extended if this due date falls within the COVID-19 National Emergency. A period of time equal to the lesser (a) one year or (b) 60 days after the end of the National Emergency will be disregarded in determining your COBRA election due date. You may elect COBRA continuation coverage at any time after receipt of this letter through the date your COBRA election period ends. If you elect COBRA, you must pay all monthly premiums back to your loss of coverage date.

COBRA premium due dates and the due date for notifying the plan of a disability extension request as described in this letter are also extended if the dates fall within the COVID-19 National Emergency. A period of time equal to the lesser (a) one year or (b) 60 days after the end of the National Emergency will be disregarded in determining the applicable due date.



IMPORTANT INFORMATION ABOUT YOUR COBRA CONTINUATION COVERAGE

What is continuation coverage?

Federal law requires that most group health plans (including the Plan) give employees and their families the opportunity to continue their health care coverage at their own expense when there is a "qualifying event" that would otherwise result in a loss of coverage. Those individuals who are entitled to continue coverage are referred to as "qualified beneficiaries." Depending on the type of qualifying event, "qualified beneficiaries" can include the employee covered under the group health plan, a covered employee's spouse, and dependent children of the covered employee.

If you are a qualified beneficiary, you may elect continuation coverage only under the Plan or Plans that covered you immediately before the qualifying event. Each qualified beneficiary who elects continuation coverage will have the same rights under the Plan as other participants or beneficiaries covered under the Plan, such as changing coverage under the Plan during open enrollment or other special enrollment rights. The persons who have been identified by the Plan as qualified beneficiaries entitled to elect continuation coverage are listed on the cover letter sent with this Notice.

Are there other coverage options besides COBRA Continuation Coverage?

Yes. Instead of enrolling in COBRA continuation coverage, there may be other more affordable coverage options for you and your family through the Health Insurance Marketplace, Medicaid, or other group health plan coverage options (such as a spouse's plan) through what is called a "special enrollment period". Some of these options may cost less than COBRA continuation coverage.

You should compare your other coverage options with COBRA continuation coverage and choose the coverage that is best for you. For example, if you move to other coverage you may pay more out of pocket than you would under COBRA because the new coverage may impose a new deductible.

When you lose job-based health coverage, it's important that you choose carefully between COBRA continuation coverage and other coverage options, because once you've made your choice, it can be difficult or impossible to switch to another coverage option.

How long will my continuation coverage last?

The length of time for which coverage may be continued depends on the qualifying event. In the case of a loss of coverage due to termination of employment or reduction in hours of employment, coverage may be continued for up to 18 months. In the case of a loss of coverage due to an employee's death, divorce or legal separation, the employee's entitlement to Medicare or a dependent child's ceasing to be a dependent under the terms of the Plan, coverage may be continued for up to 36 months. When the qualifying event is the termination of employment or reduction of the employee's hours of employment and the employee became entitled to Medicare benefits less than 18 months before the qualifying event, COBRA continuation coverage for qualified beneficiaries other than the employee lasts until 36 months after the date of Medicare entitlement. The cover letter sent with this Notice shows the maximum period of continuation coverage available to the qualified beneficiaries at this time.

A qualified beneficiary's continuation coverage will be terminated before the end of the maximum period if: any required premium is not paid on time, the qualified beneficiary becomes covered under another group health plan, the qualified beneficiary enrolls in Medicare, the employer ceases to provide any group health plan for its employees or, if coverage is being continued because of the special extended coverage period for disabled individuals (see below), it is determined that the person is no longer disabled under the Social Security laws. Continuation coverage may also be terminated for any generally applicable reason the Plan would terminate coverage of a participant or beneficiary not receiving continuation coverage (such as fraud).

Special rules for termination of employment and reduction of hours.

If your qualifying event would ordinarily result in a maximum continuation coverage period of 18 months, the special rules set forth below apply:

How can I extend the length of continuation coverage?

If you elect continuation coverage, an extension of the maximum period of 18 months of coverage may be available if a qualified beneficiary is disabled or a second qualifying event occurs. You must notify Cobra Control Services, LLC of a disability or a second qualifying event in order to extend the period of continuation coverage. Failure to provide notice of a disability or second qualifying event may affect the right to extend the period of continuation coverage. For more information about extending the length of COBRA continuation coverage visit <http://www.dol.gov/ebsa/publications/cobraemployee.html>.

Disability.

An 11-month extension of coverage may be available if any of the qualified beneficiaries is disabled. The Social Security Administration (SSA) must determine that the qualified beneficiary was disabled at some time during the first 60 days of continuation coverage, and you must notify Cobra Control Services, LLC of that fact within 60 days of the SSA's determination and before the end of the first 18 months of continuation coverage. All of the qualified beneficiaries listed on the first page of this Notice who have elected continuation coverage will be entitled to the 11-month disability extension if one of them qualifies. If the qualified beneficiary is determined by SSA to no longer be disabled, you must notify Cobra Control Services, LLC of that fact within 30 days of the SSA's determination.



Second Qualifying Event.

An 18-month extension of coverage will be available to spouses and dependent children who elect continuation coverage if a second qualifying event occurs during the first 18 months of continuation coverage. The maximum amount of continuation coverage available when a second qualifying event occurs is 36 months from the date COBRA coverage first began. Such second qualifying events may include the death of a covered employee, divorce or separation from the covered employee, the covered employee's enrolling in Medicare, or a dependent child's ceasing to be eligible for coverage as a dependent under the Plan. Please note: Enrollment in Medicare will be a second qualifying event only if it would cause a loss of coverage for the dependent under the active plan. You must notify Cobra Control Services, LLC within 60 days after a second qualifying event occurs.

Medicare Entitlement Followed by Qualifying Event.

If a qualifying event occurs less than 18 months after the date you become entitled to Medicare, the period of continuation coverage for your qualified beneficiaries is 36 months from the date of your Medicare entitlement.

How do I elect continuation coverage?

Each qualified beneficiary has an independent right to elect continuation coverage. For example, both the employee and the employee's spouse may elect continuation coverage, or only one of them. Similarly, parents may elect to continue coverage only on behalf of their dependent children. A qualified beneficiary must elect coverage by the date specified on the cover letter sent with this Notice. Failure to do so will result in loss of the right to elect continuation coverage under the Plan. A qualified beneficiary may change a prior rejection of continuation coverage any time until the deadline for electing coverage, but the continuation of coverage will begin only as of the date the change is post-marked or otherwise received.

In considering whether to elect continuation coverage, you should take into account that you have special enrollment rights under federal law. You have the right to request special enrollment in another group health plan for which you are otherwise eligible (such as a plan sponsored by your spouse's employer) within 30 days after your group health coverage ends because of the qualifying event listed above. You will also have the same special enrollment right at the end of continuation coverage if you get continuation coverage for the maximum time available to you.

Some insurance companies require COBRA beneficiaries to complete the insurance company's own COBRA applications. Upon Cobra Control Services' receipt of the enclosed election form, you will be provided with any required COBRA applications for your insured benefits. Please also complete those forms and return them to Cobra Control Services, LLC.

How much does continuation coverage cost?

Generally, each qualified beneficiary may be required to pay the entire cost of continuation coverage. The amount a qualified beneficiary may be required to pay may not exceed 102 percent (or, in the case of an extension of continuation coverage due to a disability, 150 percent) of the cost to the group health plan (including both employer and employee contributions) for coverage of a similarly situated plan participant or beneficiary who is not receiving continuation coverage. The rates for continuation coverage for qualified beneficiaries are set forth on the election form accompanying this Notice.

Extended Cal-COBRA Coverage for California Employees

If the Plan is insured under California law, the Plan must offer any qualified beneficiary who is entitled to less than 36 months of continuation coverage under COBRA and has exhausted such coverage the opportunity to extend coverage under Cal-COBRA to a total of 36 months from the date the qualified beneficiary's continuation coverage began. A qualified beneficiary electing such further continuation coverage must pay to the group plan, on or before the due date of each payment but not more frequently than on a monthly basis, not more than 110 percent of the applicable rate charged for a covered employee or, in the case of dependent coverage, not more than 110 percent of the applicable rate charged to a similarly situated individual under the group benefit plan being continued under the group contract. In the case of a qualified beneficiary who is determined to be disabled by SSA (see "Disability" above), the qualified beneficiary shall be required to pay to the group health plan an amount no greater than 150 percent of the group rate after the first 18 months of continuation coverage.

When and how must I pay for continuation coverage?

First payment for continuation coverage

If you elect continuation coverage, you do not have to send any payment for continuation coverage with the Election Form. However, you must make your first payment for continuation coverage within 45 days after the date of your election. (This is the date the Election Notice is post-marked, if mailed.) If you do not make your first payment for continuation coverage within that 45 days, you will lose all continuation coverage rights under the Plan.

Your first payment must cover the cost of continuation coverage from the time your coverage under the Plan would have otherwise terminated up to the time you make the first payment. You are responsible for making sure that the amount of your first payment is enough to cover this entire period. You may contact Cobra Control Services, LLC to confirm the correct amount of your first payment.

Your completed election form and first payment for continuation coverage should be sent to:

Election Form
Cobra Control Services, LLC
PO Box 62407
King of Prussia, PA 19406

First Payment
Cobra Control Services, LLC
PO Box 417985
Boston, MA 02241-7985

Your election form and payment must be sent by REGULAR U.S. MAIL to the address listed above. The postmark on your letter will document proof of mailing. Please note that the P.O. Box will not accept correspondence sent by certified mail or delivery service.

Periodic payments for continuation coverage

After you make your first payment for continuation coverage, you will be required to pay for continuation coverage for each subsequent month of coverage. Your payments are due in full by the first of the month for that month of coverage (Example, premiums for coverage in July are due by July 1st). If you make a periodic payment on or before its due date, your coverage under the Plan will continue for that coverage period without any break. The Plan will not send periodic notices of payments due for these coverage periods.

Periodic payments for continuation coverage should be sent to Cobra Control Services, LLC at the address set forth above.

Grace periods for periodic payments

Although periodic payments are due on the dates shown above, you will be given a grace period of 30 days to make each periodic payment. Your continuation coverage will be provided for each coverage period as long as payment for that coverage period is made before the end of the grace period for that payment.

If you fail to make a periodic payment before the end of the grace period for that payment, you will lose all rights to continuation coverage under the Plan.

Employees Eligible For Trade Adjustment Assistance

The Trade Act of 2002 created a tax credit for certain individuals who became eligible for trade adjustment assistance and for certain retired employees receiving pension payments from the Pension Benefit Guaranty Corporation (PBGC) (eligible individuals). Under the tax provisions, eligible individuals can either take a tax credit or get advance payment of 72.5% of premiums paid for qualified health insurance, including continuation coverage. Various laws have made amendments to these provisions, including increasing the amount of the credit and terminating the credit for certain periods of time. The Trade Adjustment Assistance Reauthorization Act of 2015 restored, modified and extended the health coverage tax credit (HCTC) and certain other provisions of the Trade Act for all eligible coverage months beginning before January 1, 2020.

If you have questions about the Trade Act or the HCTC, you may contact the IRS at their toll-free number, (800) 829-1040. More information is also available at www.doleta.gov/tradeact.

Can I convert to an individual policy?

At the end of the maximum 18, 29 or 36-month COBRA continuation period, the opportunity to convert to an individual health insurance policy may be available. The benefits and cost of coverage under the conversion option may differ from the benefits and cost of the continuation coverage that you may elect now.

You may also be able to get coverage through the Health Insurance Marketplace that costs less than COBRA continuation coverage.

You can learn more about the Marketplace below.

What is the Health Insurance Marketplace?

The Marketplace offers "one-stop shopping" to find and compare private health insurance options. In the Marketplace, you could be eligible for a new kind of tax credit that lowers your monthly premiums and cost-sharing reductions (amounts that lower your out-of-pocket costs for deductibles, coinsurance, and copayments) right away, and you can see what your premium, deductibles, and out-of-pocket costs will be before you make a decision to enroll. Through the Marketplace you'll also learn if you qualify for free or low-cost coverage from Medicaid or the Children's Health Insurance Program (CHIP). You can access the Marketplace for your state at www.HealthCare.gov.

Coverage through the Health Insurance Marketplace may cost less than COBRA continuation coverage. Being offered COBRA continuation coverage won't limit your eligibility for coverage or for a tax credit through the Marketplace.

When can I enroll in Marketplace coverage?

You always have 60 days from the time you lose your job-based coverage to enroll in the Marketplace. That is because losing your job-based health coverage is a "special enrollment" event. **After 60 days your special enrollment period will end and you may not be able to enroll, so you should take action right away.** In addition, during what is called an "open enrollment" period, anyone can enroll in Marketplace coverage.

To find out more about enrolling in the Marketplace, such as when the next open enrollment period will be and what you need to know about qualifying events and special enrollment periods, visit www.HealthCare.gov.

If I sign up for COBRA continuation coverage, can I switch to coverage in the Marketplace? What about if I choose Marketplace coverage and want to switch back to COBRA continuation coverage?

If you sign up for COBRA continuation coverage, you can switch to a Marketplace plan during a Marketplace open enrollment period. You can also end your COBRA continuation coverage early and switch to a Marketplace plan if you have another qualifying event such as marriage or birth of a child through something called a "special enrollment period". But be careful though - if you terminate your COBRA continuation coverage early without another qualifying event, you'll have to wait to enroll in Marketplace coverage until the next open enrollment period, and could end up without any health coverage in the interim.



Once you've exhausted your COBRA continuation coverage and the coverage expires, you will be eligible to enroll in Marketplace coverage through a special enrollment period, even if Marketplace open enrollment has ended.

If you sign up for Marketplace coverage instead of COBRA continuation coverage, you cannot switch to COBRA continuation coverage under any circumstances.

Can I enroll in another group health plan?

You may be eligible to enroll in coverage under another group health plan (like a spouse's plan), if you request enrollment within 30 days of the loss of coverage.

If you or your dependent chooses to elect COBRA continuation coverage instead of enrolling in another group health plan for which you're eligible, you'll have another opportunity to enroll in the other group health plan within 30 days of losing your COBRA continuation coverage.

Can I enroll in Medicare instead of COBRA continuation coverage after my group health plan coverage ends?

In general, if you don't enroll in Medicare Part A or B when you are first eligible because you are still employed, after the initial enrollment period for Medicare Part A or B, you have an 8-month special enrollment period to sign up, beginning on the earlier of

- The month after your employment ends; or
- The month after group health plan coverage based on current employment ends.

If you don't enroll in Medicare Part B and elect COBRA continuation coverage instead, you may have to pay a Part B late enrollment penalty and you may have a gap in coverage if you decide you want Part B later. If you elect COBRA continuation coverage and then enroll in Medicare Part A or B before the COBRA continuation coverage ends, the Plan may terminate your continuation coverage. However, if Medicare Part A or B is effective on or before the date of the COBRA election, COBRA coverage may not be discontinued on account of Medicare entitlement, even if you enroll in the other part of Medicare after the date of the election of COBRA coverage.

If you are enrolled in both COBRA continuation coverage and Medicare, Medicare will generally pay first (primary payer) and COBRA will pay second. Certain COBRA continuation coverage plans may pay as if secondary to Medicare, even if you are not enrolled in Medicare.

For more information visit <https://www.medicare.gov/medicare-and-you>. Also see <https://www.medicare.gov/sign-up-change-plans/how-do-i-get-parts-a-b/part-a-part-b-sign-up-periods>. The special enrollment rules are different for people with End Stage Renal Disease (ESRD).

What factors should I consider when choosing coverage options?

When considering your options for health coverage, you may want to think about:

Premium:

Your previous plan can charge up to 102% of total plan premiums for COBRA coverage. Other options, like coverage on a spouse's plan or through the Marketplace, may be less expensive.

Provider Networks:

If you're currently getting care or treatment for a condition, a change in your health coverage may affect your access to a particular health care provider. You may want to check to see if your current health care providers participate in a network as you consider options for health coverage.

Drug Formularies:

If you're currently taking medication, a change in your health coverage may affect your costs for medication - and in some cases, your medication may not be covered by another plan. You may want to check to see if your current medications are listed in drug formularies for other health coverage.

Severance Payments:

If you lost your job and got a severance package from your former employer, your former employer may have offered to pay some or all of your COBRA payments for a period of time. In this scenario, you may want to contact the Department of Labor at 1-866-444-3272 to discuss your options.

Service Areas:

Some plans limit their benefits to specific service or coverage areas - so if you move to another area of the country, you may not be able to use your benefits. You may want to see if your plan has a service or coverage area, or other similar limitations.

Other Cost-Sharing:

In addition to premiums or contributions for health coverage, you probably pay copayments, deductibles, coinsurance, or other amounts as you use your benefits. You may want to check to see what the cost-sharing requirements are for other health coverage options. For example, one option may have much lower monthly premiums, but a much higher deductible and higher copayments.

Johnstone Supply
COBRA Summary And Election Form



Mail To: COBRA Control Services, LLC
P. O. Box 62407
King Of Prussia, PA 19406

TO ACTIVATE COBRA COVERAGE

1. You must complete, sign, and date this Form, and have it postmarked for delivery to Cobra Control Services, LLC (CCS) within 60 days from the later of the date of your Qualifying Event letter provided with this form or your actual loss of coverage.
2. Provided that this election form is postmarked before the end of the 60-day election period (see SUMMARY #10 below), you will have up to 45 days from this form's postmark date to mail/provide CCS with your Initial Premium Payment.
3. Your Initial Premium Payment must include payment in full for each coverage month, retroactively to the loss of coverage date that becomes due on or before the earlier of (1) the date that is 45 days from this election form's postmark date (this is called the Initial Premium Payment Grace Period) or (2) the postmark date of your Initial Premium Payment.
4. Your Initial Premium Payment must be sufficient to pay for each month of retroactive coverage. CCS will process partial payments for the purpose of maintaining the necessary accounting data, and in anticipation that you will follow up with the balance due prior to the end of the 45-day grace period. However, your coverage will be requested to be reinstated only for months for which you have made payment in full. In the event that you fail to pay any unpaid coverage month balance by the end of the 45-day grace period, your partial payment will be returned.
5. The 45-day Initial Premium Payment Grace Period only applies to your Initial Premium Payment and not future premium payments.
6. Important item to note: If your continuation coverage begins on any day other than the 1st of the month (see #7 below), your first month's premium will be prorated. You may contact Cobra Control Services for confirmation on the amount of the prorated first month.

SUMMARY

1. Name: John M Dilan (Ref #: 1252485)
2. COBRA Qualifier(s): John M Dilan
3. Home Address: 460 Main Street, Freemansburg, PA 18017
4. Qualifying Event: Termination of Employment
5. Qualifying Event Date: 09/30/2022
6. Last Day of Current Coverage: 09/30/2022
7. First Day Without Current Coverage: 10/01/2022
8. COBRA Notification Date: 10/04/2022
9. Available Months of COBRA Coverage: 18 months
- 10 Last Day to Elect (Postmark) COBRA coverage: 12/02/2022
- 11 For Health FSA (if applicable): The last day of current coverage is the Qualifying Event Date. If elected, COBRA coverage begins the day after the Qualifying Event Date. Maximum potential period of COBRA coverage is through the end of the FSA plan year.

MONTHLY PREMIUMS

Insurance Plan

UCCI - (Single)\$29.41; (Employee & Spouse)\$85.34; (Employee & Child)\$85.34; (Family)\$85.34; (Employee & Children)\$85.34;
CBC PPO 8000/0/30 - (Single)\$485.57; (Employee & Spouse)\$1,073.12; (Employee & Child)\$1,019.71; (Family)\$1,414.00; (Employee & Children)
\$1,019.71;
CBC Vision 12/10 - (Single)\$4.32; (Employee & Spouse)\$12.07; (Employee & Child)\$12.07; (Family)\$12.07; (Employee & Children)\$12.07;

COBRA ELECTION FORM

Name: John M Dilan (Ref #: 1252485) 

Street Address: _____

City, State, Zip: _____

Phone Number: _____ Email Address: _____

List All Family Members To Cover Including Self	Date Of Birth	Social Security No.	Selected Plan(s) From Insurance Plans(s) Above	Monthly Premium As Shown Above
_____	_____	_____	_____	_____
_____	_____	_____	_____	_____
_____	_____	_____	_____	_____
_____	_____	_____	_____	_____
_____	_____	_____	_____	_____

Signature: _____ Date: _____ Total Premium: _____





CERTIFICATE OF GROUP HEALTH PLAN COVERAGE

- | | |
|---|---|
| 1. Date of this certificate: 10/04/2022 | 6. Name, address, and telephone number of plan entity responsible for providing this certificate: COBRA Control Services, LLC
P.O. Box 62407
King Of Prussia, PA 19406 |
| 2. Name of group health plan:
CBC PPO 8000/0/30 (Single)
CBC Vision 12/10 (Single)
UCCI (Single) | 7. For further information, call: (888)887-6187 |
| 3. Name of participant: John M Dilan | 8. If the individual(s) identified in line 5 has (have) at least 18 months of creditable coverage (disregarding periods of coverage before a 63-day break), check here and skip 9 and 10: ☒ |
| 4. Identification number of participant: Ref #: 1252485 | 9. Date waiting period or affiliation period (if any) began:
02/15/2021 |
| 5. Name of individuals to whom this certificate applies:
John M Dilan | 10. Date coverage began: 02/15/2021 |
| | 11. Date coverage ended (or if coverage has not ended, enter "continuing"): 09/30/2022 |

[Note: separate certificates will be furnished if information is not identical for the participant and each beneficiary.]

Statement of HIPAA Portability Rights

IMPORTANT - KEEP THIS CERTIFICATE. This certificate is evidence of your coverage under the Johnstone Supply's group health plans. Under a federal law known as HIPAA, you may need evidence of your coverage to reduce a preexisting condition exclusion period under another plan, to help you get special enrollment in another plan, or to get certain types of individual health coverage even if you have health problems.

Preexisting condition exclusions. Some group health plans restrict coverage for medical conditions present before an individual's enrollment. These restrictions are known as "preexisting condition exclusions". A preexisting condition exclusion can apply only to conditions for which medical advice, diagnosis, care, or treatment was recommended or received within the 6 months before your "enrollment date". Your enrollment date is your first day of coverage under the plan, or, if there is a waiting period, the first day of your waiting period (typically, your first day of work). In addition, a preexisting condition exclusion cannot last for more than 12 months after your enrollment date (18 months if you are a late enrollee). Finally, a preexisting condition exclusion cannot apply to pregnancy and cannot apply to a child who is enrolled in health coverage within 30 days after birth, adoption, or placement for adoption.

If a plan imposes a preexisting condition exclusion, the length of the exclusion must be reduced by the amount of your prior creditable coverage. Most health coverage is creditable coverage, including group health plan coverage, COBRA continuation coverage, coverage under an individual health policy, Medicare, Medicaid, State Children's Health Insurance Program (SCHIP), and coverage through high-risk pools and the Peace Corps. Not all forms of creditable coverage are required to provide certificates like this one. If you do not receive a certificate for past coverage, talk to your new plan administrator.

You can add up any creditable coverage you have, including the coverage shown on this certificate. However, if at any time you went for 63 days or more without any coverage (called a break in coverage) a plan may not have to count the coverage you had before the break.

- > Therefore, once your coverage ends, you should try to obtain alternative coverage as soon as possible to avoid a 63-day break. You may use this certificate as evidence of your creditable coverage to reduce the length of any preexisting condition exclusion if you enroll in another plan.



Right to get special enrollment in another plan. Under HIPAA, if you lose your group health plan coverage, you may be able to get into another group health plan for which you are eligible (such as a spouse's plan), even if the plan generally does not accept late enrollees, if you request enrollment within 30 days. (Additional special enrollment rights are triggered by marriage, birth, adoption, and placement for adoption.)

-> Therefore, once your coverage ends, if you are eligible for coverage in another plan (such as a spouse's plan), you should request special enrollment as soon as possible.

Prohibition against discrimination based on a health factor. Under HIPAA, a group health plan may not keep you (or your dependents) out of the plan based on anything related to your health. Also, a group health plan may not charge you (or your dependents) more for coverage, based on health, than the amount charged a similarly situated individual.

Right to individual health coverage. Under HIPAA, if you are an "eligible individual", you have a right to buy certain individual health policies (or in some states, to buy coverage through a high-risk pool) without a preexisting condition exclusion. To be an eligible individual, you must meet the following requirements:

- You have had coverage for at least 18 months without a break in coverage of 63 days or more;
- Your most recent coverage was under a group health plan (which can be shown by this certificate);
- Your group coverage was not terminated because of fraud or nonpayment of premiums;
- You are not eligible for COBRA continuation coverage or you have exhausted your COBRA benefits (or continuation coverage under a similar state provision); and
- You are not eligible for another group health plan, Medicare, or Medicaid, and do not have any other health insurance coverage.

The right to buy individual coverage is the same whether you are laid off, fired, or quit your job.

-> Therefore, if you are interested in obtaining individual coverage and you meet the other criteria to be an eligible individual, you should apply for this coverage as soon as possible to avoid losing your eligible individual status due to a 63-day break.

State flexibility. This certificate describes minimum HIPAA protections under federal law. States may require insurers and HMOs to provide additional protections to individuals in that state.

For more information. If you have questions about your HIPAA rights, you may contact your state insurance department or the U.S. Department of Labor, Employee Benefits Security Administration (EBSA) toll-free at 1-866-444-3272 (for free HIPAA publications ask for publications concerning changes in health care laws). You may also contact the CMS publication hotline at 1-800-633-4227 (ask for "Protecting Your Health Insurance Coverage"). These publications and other useful information are also available on the Internet at: <http://www.dol.gov/ebsa>, the DOL's interactive web pages - Health Elaws, or <http://www.cms.hhs.gov/hipaa1>.



Frequently Asked Questions about Continuing Group Health Coverage under COBRA/State Continuation*

Q-1. Who is Cobra Control Services, LLC?

A-1. Cobra Control Services, LLC "CCS" is a third party COBRA billing and payment processor for the employer sponsoring the group health plan under which you lost coverage. CCS collects your premium payments for coverage and remits those payments to the employer/former employer.

Q-2. If I elect COBRA, am I enrolling in a Cobra Control Services plan?

A-2. No. CCS is a billing and payment processor for the employer sponsoring the group health plan under which you lost coverage. You are continuing coverage under that employer's plan. CCS does not offer a health plan to COBRA continuants, and CCS does not make any decisions with respect to your coverage under COBRA. CCS collects your premium payments and remits them to the employer/former employer. All decisions with respect to eligibility for and benefits under COBRA are made by the employer sponsoring the group health plan.

Q-3. How do I elect COBRA coverage?

A-3. To elect coverage, you must complete the election form enclosed in this package.

Q-4. May I fax my completed election form? What is your fax number?

A-4. Yes, you may fax your completed election form. The fax number is 1-888-265-2144.

Q-5. Is my health coverage effective as soon as I mail or fax the election form?

A-5. Not necessarily. In most cases, you must pay the required premium amounts for coverage, in a timely manner, in order for your health coverage to be reinstated.

Q-6. How long does it take for my coverage to be reactivated under COBRA?

A-6. Upon receipt of your proper payment, CCS will notify the appropriate parties to reinstate your coverage. The timing of the reactivation of your coverage depends on your plan and the insurance carrier. Most COBRA coverage is reactivated within 7 to 10 business days of CCS' receipt of your proper payment. To verify if your coverage is active, please contact the insurance carrier (the number on the back of your insurance card) directly.

Q-7. To whom do I make my check payable?

A-7. Checks should be made payable to Cobra Control Services, LLC.

Q-8. Should I send my check by regular mail or certified mail?

A-8. All payments must be sent to CCS by REGULAR US MAIL. Please do not send your check certified or return receipt. The P.O. Box will NOT accept certified, registered or express mail, and if sent this way, your payment may not be considered timely.

Q-9. May I make a partial payment?

A-9. A partial payment does not guarantee coverage. Partial payments will be processed only for the purpose of maintaining necessary accounting data, with the anticipation that you will follow up with the balance due in a timely manner (by the end of the grace period for payment).

Q-10. When is payment due?

A-10. Payment is due on the first of the month for that month of coverage.

Q-11. Is there any grace period for payment?

A-11. Yes. Each month, there is a thirty (30) day grace period for payments to be postmarked.

Q-12. Do I have to include the coupon with my payment?

A-12. No, the coupon is not required, but please include your reference number on your check.

Q-13. What are my options for making my payments?

A-13. At this time, a check or money order are the only acceptable forms of payment.



Q-14. I received a letter saying that my COBRA coverage is terminated for non-payment. How can I get it reactivated?

A-14. The employer sponsoring the plan makes all determinations as to the reactivation of coverage. Please submit an appeal, in writing, which CCS will forward to the employer for review. Appeals may be sent by fax to 1-888-265-2144 or by email to service@cobracontrol.com.

Q-15. How long does it take to get a response to my appeal?

A-15. The response time depends on the employer. CCS will communicate the response to you promptly after it is received.

Q-16. Will I be getting new cards now that I am on COBRA?

A-16. This depends on your insurance carrier. Many times, you will continue to use the same card you used while on the group health plan as an active employee.

Q-17. Will CCS send me a bill each month?

A-17. No. After your completed election form is processed, CCS will send you monthly payment coupons. Please keep these coupons and send them with your monthly payments.

Q-18. What do I do if I run out of payment coupons or lose my payment coupons?

A-18. You do not need to include a payment coupon with your monthly payment, so long as you write your reference number on your check. Please contact CCS at 1-888-887-6187 if you would like replacement coupons.

Q-19. How soon do I have to elect and make my payments for COBRA?

A-19. The expiration of your COBRA election period is listed on your Summary & Election Form (#10).

Q-20. I moved. Can you change my address over the phone?

A-20. All address changes must be made in writing. You may fax the information to 1-888-265-2144 or email it to service@cobracontrol.com.

Q-21. During the first month I was eligible for COBRA, I did not need to use the coverage. Can I start COBRA coverage at the beginning of the second month?

A-21. No. COBRA and state continuation laws require that coverage is continuous and that there is no lapse in coverage.

Q-22. My COBRA election period ended, but I now see that I need the coverage. May I elect COBRA now?

A-22. COBRA must be elected within the time period indicated on your Summary & Election Form (#10). If you missed this time period, you may appeal as described in Q/A-14, above.

Q-23. What are my options after my COBRA period ends?

A-23. You may be able to convert your coverage to an individual policy, if permitted by the terms of your coverage. If you are in an insured plan, call the carrier directly using the number on the back of your insurance card. You may be eligible to purchase individual coverage through the Health Insurance Exchange Marketplace.

Q-24. I will be turning 65 next week and enrolling in Medicare. How do I keep my spouse on the plan?

A-24. Please send your request, in writing, to service@cobracontrol.com or fax it to 1-888-265-2144. Upon receipt and processing, CCS will send revised payment coupons to your spouse.

Q-25. Do I have to enroll in Medicare A or B if I am on COBRA?

A-25. There are specific rules regarding coordination of COBRA and Medicare. We suggest that you contact Medicare directly to discuss your Medicare/COBRA rights and responsibilities. In general, if you don't enroll in Medicare Part A or B and elect COBRA continuation coverage instead, you may have to pay a Part B late enrollment penalty and you may have a gap in coverage if you want Part B later. Visit www.medicare.gov/medicare-and-you.

Q-26. Why did my rate increase?

A-26. CCS is a third party billing and payment vendor. CCS makes no decisions regarding premium amounts, copays, plans, benefits or rates. Rates are established by the insurance carrier and generally changed once per year. CCS will timely communicate the rate change to you after it receives the information from the plan sponsor.